

EXPLANATORY MEMORANDUM (SPECIMEN)

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WHAT IS CHANGING

- Overall statewide rates for Personal Auto policies would change by an average of +4.8% (illustrative).
- Physical damage (Collision and Comprehensive) rates increase more than liability rates, reflecting higher vehicle repair costs.
- Two new optional endorsements become available: EV Battery & Charging Equipment (CA-51) and Motorcycle Safety Apparel & Helmet (CA-60).
- The California Amendatory Endorsement (CA-01) is updated to reflect current statutory citations; no coverage is reduced by this update.
- Territory definitions are revised using updated ZIP-code-level loss experience, consistent with Proposition 103's mandatory rating factor order.

WHO IS AFFECTED

All California Personal Auto policyholders renewing on or after 05/01/2026 will be rated under the revised rate pages. New business written on or after 03/15/2026 will also use the revised rates. Policyholders who purchase a covered electric vehicle or motorcycle may elect the applicable new endorsement at an additional premium.

WHY THE CHANGE IS BEING REQUESTED

The company's California loss experience over the specimen 5-year experience period shows rising claim severity in Collision and Comprehensive coverages, driven by increased vehicle repair costs and parts prices. The requested rate change is intended to keep premium adequate to pay expected claims and expenses while remaining within Proposition 103 rate regulation standards.

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